

Amendment No. 1 to SB2646

Bailey
Signature of Sponsor

AMEND Senate Bill No. 2646

House Bill No. 1878*

by deleting SECTION 2 and substituting:

SECTION 2. Tennessee Code Annotated, Section 7-53-305, is amended by deleting subdivision (a)(2)(A) and substituting instead:

(A) Notwithstanding this section to the contrary, and unless the municipality adopts an ordinance or resolution requiring that any agreement with respect to the payments in lieu of taxes entered into pursuant to this subdivision (a)(2) be approved by the municipality, a corporation may negotiate and receive from any lessee of the corporation, without any delegation from the municipality, payments in lieu of taxes with respect to a tax-credit housing project, if the payments are payable to all applicable taxing jurisdictions and:

(i)

(a) Are not less than the taxes that would have been paid to each such taxing jurisdiction for the tax year prior to the year the project became a tax-credit housing project; and

(b) The chief executive officer of the municipality has executed a letter supporting the project that is filed with the corporation; or

(ii)

(a) Are less than the taxes that would have been paid to each such taxing jurisdiction for the tax year prior to the year the project became a tax-credit housing project; and

(b) The chief executive officer of each affected taxing jurisdiction has executed a letter supporting the project that is filed with the corporation.

SECTION 3. Tennessee Code Annotated, Section 7-53-305, is amended by deleting subdivision (b)(1)(A) and substituting instead:

(A) The corporation has the authority to negotiate, accept, or waive from any of the corporation's lessees payments in lieu of taxes only upon receipt of a formal delegation of such authority from the municipality or municipalities that formed the corporation. Any such authorization must only be granted upon a finding by the municipality or municipalities that the payments or waiver of the payments are deemed to be in furtherance of the corporation's public purposes. Prior to any such authorization, the corporation shall submit for approval an agreement with any of the corporation's lessees providing for the acceptance or waiver of payments in lieu of taxes with the legislative body of the municipality or municipalities making the delegation and any other taxing jurisdiction affected by the delegation.

SECTION 4. Tennessee Code Annotated, Section 7-53-305, is amended by deleting subdivision (g)(1)(C) and substituting instead:

(C) The corporation has received prior, written approval from the county mayor and the legislative body of the county regarding payments in lieu of ad valorem taxes.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.